TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Special Called Town Hall (January 20) & Regular Board Meeting (January 21, 2026)

BACKGROUND AND CONTEXT

January 20–21, 2026 represented the new board's first regular operating cycle — a special town hall on January 20 followed by the first regular board meeting on January 21. The town hall was devoted entirely to the TPUC jurisdictional matter and the board's proposed T-Bore legislative solution. The board meeting the next day covered formal governance housekeeping, an AT&T infrastructure damage update, Timeless Tellico Foundation, Tanasi construction progress, a full-year December financial report, four golf equipment capital requests, the balanced scorecard business plan introduction, 401k committee appointments, the T-Bore resolution vote, and the reclassification of the Communications Advisory Committee.

Both meetings took place in the direct aftermath of the chaotic December 29 special meeting, and that shadow was visible throughout. Board president Lackey opened the board meeting with an extended appeal for civility and respect. A former Finance Advisory Committee chair resigned his volunteer position in protest at the December conduct. And multiple community members, even supportive ones, urged the board to correct the committee appointment process that had broken down publicly on December 29.

Despite that shadow, the January cycle was measurably more professional and productive than December. The T-Bore strategy appears sound, the financial results were strong, the golf equipment requests were thoroughly vetted and competitive, and the balanced scorecard framework was clearly explained. Concerns documented below are real but should be read against a backdrop of genuine improvement.

PART ONE: TOWN HALL — JANUARY 20 (T-BORE PROPOSAL)

The town hall was a single-topic, well-structured session with the board's retained utility attorney Henry Walker presenting the T-Bore legislative strategy. The proposal itself, Walker's credentials, and community reaction have been addressed in detail; the key concerns are summarized and updated here in light of what happened the next day.

1a. The Vote Was Scheduled for the Next Morning — Confirmed

As documented in the prior single-meeting report, Lackey disclosed near the end of the town hall that the board would be voting on the resolution the following day. The January 21 meeting confirms this: the T-Bore resolution was passed 7-0 approximately 23 hours after the town hall ended. While the outcome was well-received and the proposal appears sound, the question of

whether community input was genuinely consultative or ceremonially informational remains valid.

An objective observer notes: the community spoke positively — but that was not inevitable, and the board had no apparent mechanism to delay the vote had the community expressed significant opposition. Calling a session 'input-gathering' while a vote is pre-calendared for the following morning conflates notification with consultation.

1b. An Unresolved Financial Question the Board Should Have Answered Before Voting

Board member Ed raised a substantive question during the T-Bore resolution vote that was not fully answered before the 7-0 passage:

> *"Looking at the five-year plan for water and sewer cash flow, it looks like if we continue with current projects, the POA needs to donate money to the water and sewer fund in order to make those projects go forward. So will, once we adopt this motion, will the POA be able to utilize funds to subsidize water and sewer, or would they have to be 100% out of the rates?"*

[Board Meeting ~2:43:02]

This is not a trivial question. The five-year capital plan for water/sewer infrastructure may require transfers from general POA reserves to the water/sewer fund. T-Bore's framework requires strict fund segregation. Whether one-way transfers from general reserves into the water/sewer fund remain permissible under T-Bore oversight was not definitively answered. Board member David acknowledged the question was valid and suggested asking Henry Walker, but no answer was obtained before the vote proceeded.

A 7-0 vote on a significant legislative commitment, with a known open legal question unresolved and acknowledged, is a procedural gap. The board should obtain Walker's written opinion on this point and make it publicly available.

1c. Past Rate Misapplication: Still No Plan

The town hall's opening speaker, Dave Landram, asked what the board intended to do about alleged historical overcharging on water/sewer rates. Lackey replied that there was no plan yet. At the January 21 board meeting, CFO Judy directly addressed related concerns raised in the wake of the town hall, stating that she had received questions and help spot tickets asking whether water and sewer money was currently being spent on other projects, and that her answer was no:

> *"I've provided this clear and transparent presentation every month to the FAC and to the board. And if you go back to the website under the financial department, there's a water and sewer reserve fund presentation that describes how we reinstated the fund and how it is to be maintained."*

[Board Meeting ~1:57:21]

This is a useful clarification about current practice. However, it does not address the prior period: the years when, by the board's own acknowledgment, the water/sewer reserve fund was collapsed into the general fund. Board member Larry asked directly whether they could be sure all funds were properly returned, and Judy's answer was essentially that the starting balance was taken from the 2022 audited statements, the schedules are available online, and it is 'fully auditable — every transaction that we can has been documented.'

What is still absent is an independent audit of the prior period and a formal plan for any remediation owed to property owners. Judy also confirmed that the water/sewer reserve funds are 'board restricted' rather than 'legally restricted,' meaning the outside auditor does not independently verify that the correct amount has been deposited into the fund. The documentation exists; the independent verification does not yet.

PART TWO: BOARD MEETING — JANUARY 21

2a. The Most Important Statement of the Month: Mike Harrington's Resignation

The most consequential moment of the entire January cycle was not in the town hall but in the board meeting's open forum. Mike Harrington, chair of the Finance Advisory Committee for three years, announced his resignation from that committee in direct response to the December 29 meeting. He did not do so quietly. He invoked his 35-year career at Ernst & Young and the concept of 'tone at the top' — the professional auditing standard for evaluating whether an organization's leadership sets an ethical culture that can be trusted:

> *"What I witnessed on the 29th of December was the antithesis of what I think tone at the top is... the ethical atmosphere, culture, and standards set by a company's senior leadership which emphasize integrity, honesty, and compliance. It's about how leaders' actions, attitudes, and directives — not just words — influence everyone else's behavior. At EY, if we felt that there was an egregious lack of tone from the top, we had two options. One, we would audit more because we were concerned about whether we could trust what was being shared with us. The second is we would resign from that particular client because we felt the information being provided we would not be able to trust in order to conclude that our opinion was in line with expectations."*

[Board Meeting ~37:16]

Harrington then made explicit what triggered his departure: the way committee directors and volunteers were treated during the December 29 appointment voting process, particularly that the Finance Advisory Committee's own work in selecting candidates was bypassed without communication or explanation. He concluded:

> *"I feel like it's so important to send a message that tone — and how the people that you say you work for are treated — needs to change in order for us to be able to move forward effectively."*

[Board Meeting ~39:25]

This is a serious statement from a credentialed professional with long institutional knowledge of Tellico Village's finances. A three-year volunteer FAC chair resigning in protest is not a minor event. It should not be footnoted. The board received this statement respectfully and Lackey's earlier remarks about civility and culture were clearly made with awareness that something significant needed to be addressed. But a respectful reception is not the same as a substantive response. No board member directly addressed Harrington's specific criticism of December 29 conduct.

2b. The Board Acknowledged the December Committee Process Was Broken

To its credit, the board did not dismiss the community criticism of December 29. In response to resident Mark Warner's comments urging the board to publish and follow a clear committee appointment process, Lackey confirmed that the matter had already been raised in executive session and action was underway:

> *"We had a problem in the advisory committee assignments. So we put a subcommittee together through the nominating committee and there'll be recommendations to the board."*

[Board Meeting ~51:13]

This is a meaningful acknowledgment. The December report documented that the board president personally pre-selected PAC committee members before the formal process, and that the Food Services Committee's recommendations were unanimously overridden without explanation. The admission that a problem existed and that a corrective process has been initiated is a positive step.

However, the corrective process — a subcommittee of the nominating committee developing a standardized approach — is itself internal and unmonitored. The community will need to observe whether the resulting process actually requires competitive interviewing of all applicants and whether committee recommendations carry real weight, or whether the new standardized process simply provides a procedural veneer over the same pre-selection dynamic.

2c. Ad Hoc Scorecard Committees: Membership Undisclosed, Code of Ethics Not Yet Signed

During the business plan presentation, board member Carla asked directly whether a list of the ad hoc committee members was available to board members. Joel's answer confirmed it was not:

> *"I can do that certainly."*

[Board Meeting ~2:33:13]

More significantly, when Carla followed up by asking whether ad hoc committee members were signing the code of ethics, Joel admitted they had not all done so yet:

> *"Not yet. We still have some of the meetings. We're going to finish the last meeting of them by the beginning of February. But I'll make sure that we get those."*

[Board Meeting ~2:32:50]

This means that individuals shaping POA programs and having access to internal operational data were participating in board-adjacent work without having signed the code of ethics. For a board that ran on governance integrity, allowing this situation to persist past the formation of these groups is a material inconsistency. The February meeting report documented that Joel subsequently described these groups as 'focus groups' rather than 'ad hoc committees,' which may also represent a reframing to reduce scrutiny. Both the undisclosed membership and the unsigned ethics commitments warranted correction before the groups began their work, not three months after.

2d. The 250th Celebration Committee — Another Unilateral Appointment

Board member Carrie presented a proposal for a 250th anniversary celebration committee and moved to appoint a specific individual — Lori Drram — as the first member:

> *"The lady down the street who I was talking to said, 'I'll do that.' Her name is Lori Drram. Lori Drram is experienced in planning all kinds of events and she would like to be a member."*

[Board Meeting ~1:43:49]

The motion passed 7-0 with Carrie and Larry also informally added to the ad hoc committee by acclamation. No application was circulated, no competing candidates were considered, and no committee recommendation process was followed. This occurred just three weeks after the board had been widely criticized for exactly this practice in December.

The December report documented the pre-selection of PAC committee members by the board president. Here, a board liaison is again personally nominating a specific individual for a committee position in the public meeting, without any prior application or interview process. That it is for a celebratory ad hoc committee rather than a standing advisory committee does not change the pattern. If the board is genuinely reforming its committee appointment practices, it should apply those reforms to ad hoc committees as well, not just to the ones subject to public scrutiny.

2e. Timeless Tellico Donation Accepted Over GM's Objection to Readiness

The board voted 7-0 to formally accept Timeless Tellico's donation of golf simulator furnishings and equipment (valued up to $185,000). However, the interim GM Matt explicitly asked the board to pass the resolution but not yet sign the acceptance documents:

> *"I just asked board president: I think it's great to pass the resolution. If you're comfortable with that, please just don't sign it. Give me a little bit of time to catch up on this and make sure operationally we're ready for what this means."*

[Board Meeting ~1:39:19]

Matt's concern was legitimate and specific: he had not been fully briefed on operational details such as how the simulators would be staffed, monitored, reserved, or handled in malfunction scenarios. He explicitly said: 'I had asked some of these questions earlier, but at that point I was kind of told, well, look, the money's not raised, so relax. We'll talk about it when the money's raised.'

The board passed the resolution as requested and honored Matt's ask not to sign it immediately. This was handled appropriately in the end. But the situation illustrates a recurring dynamic: the GM being kept at arm's length from planning on significant projects until a critical threshold is reached, then asked to execute without adequate lead time. A $185,000 donation that creates an ongoing revenue operation with staffing and technology management implications should have involved the GM throughout the fundraising process, not only upon completion.

2f. Communications Advisory Committee Downgraded to Ad Hoc — Process Questions

The board voted to convert the Communications Advisory Committee (CAC) from a standing advisory committee to an ad hoc committee, retaining its current membership and deferring any consideration of new members until March. Beth presented this as a mutual agreement with the committee based on their project-based nature.

The December 29 meeting transcript had included discussion of eliminating the Communications Advisory Committee based on claims that it had 'failed four of its goals.' Beth clarified at the January 21 meeting that this was inaccurate:

> *"I think it was stated that we didn't meet our goals or we did meet all of our goals. So I just wanted to clarify: I think the committee deserves that the community know that we did meet our goals."*
>
> **[Board Meeting ~2:52:22]**

This correction is significant. The December discussion had presented the committee's dissolution as partly justified by failure to meet its goals. That was factually wrong, and the record needed to be corrected. Beth's clarification is appreciated. What remains unexplained is why the committee's goals were mischaracterized in December in the first place, and whether the downgrade to ad hoc status reflects a genuine operational fit or a quieter version of the December impulse to eliminate committees the board has less interest in.

2g. AT&T Infrastructure Damage — $40,000 in 2025, No Resolution in Sight

Matt's AT&T update revealed that AT&T's missile-boring fiber installation technique caused approximately $40,000 in damage to POA water and sewer infrastructure in 2025, with crews routinely hit with multi-hour emergency repairs at the end of work days. Matt described ongoing negotiations but acknowledged they remained unresolved:

> *"Kevin Stevens and I have not given up on the matter. But really the discussions... I've gotten the impression you need to hold the line here because the status quo is just not acceptable."*
>
> **[Board Meeting ~30:07]**

This is a significant ongoing liability. AT&T's fiber installation directly benefits residents who want improved broadband, but it is being done at the POA's expense in infrastructure damage and emergency labor costs. The board's position to 'hold the line' is appropriate, but $40,000 in a single year with no resolution and no indication of when AT&T will change its practices represents both a financial and an operational risk. Property owners should be aware that the cost of AT&T fiber installation is being partially borne by their POA assessments, and that there is no reimbursement mechanism yet in place.

SECTION 3: GENUINE POSITIVES

January's board meeting contained substantive and well-handled business that deserves acknowledgment:

- Adopting Robert's Rules of Order formally was a meaningful governance improvement. It provides a neutral procedural framework that reduces the ability of any board president to manage meetings arbitrarily.
- The December year-end financial report was detailed, transparent, and well-presented. Cash and marketable securities of $37.2 million, expenses $1.2 million under budget, and a net surplus $4.5 million better than budget are strong results. Judy's presentation — and her proactive rebuttal of community concerns about water/sewer fund co-mingling — was exemplary.

- Wells McClure's four golf equipment capital requests were among the most professionally documented capital requests in any of the meetings reviewed. Three competitive bids obtained for each item, lease vs. purchase analysis performed and documented, cost-per-hour analysis explaining why 12-14 year old equipment is being replaced now, and all four requests came in at or under budget. This is how capital procurement should be done.
- The T-Bore resolution was passed unanimously after a well-informed public discussion. Even with the procedural concerns documented above, the substantive outcome — pursuing lighter-touch regulatory oversight that protects residents while avoiding crushing TPU compliance costs — appears sound.
- Scott Macrae's Tanasi and main lift station updates were detailed and credible. The project is back on schedule for second-quarter opening after weather-related delays, and the INI remediation data is showing measurable reduction in inflow and infiltration.
- The board's handling of the Timeless Tellico vote — passing the resolution while honoring Matt's request not to sign it immediately — demonstrated appropriate deference to the GM's operational expertise.

CONCLUSION AND FORWARD-LOOKING OBSERVATIONS

January 2026 was a genuine improvement over December in process, tone, and substance. But it was not a clean break. The Harrington resignation is the clearest signal that December's damage is not fully repaired by words alone. The December pattern of board members pre-selecting committee members reappeared immediately in January with the 250th celebration committee appointment. The ad hoc scorecard committees remain membership-undisclosed and operated for months with unsigned ethics commitments. And the single most consequential unresolved issue from the town hall — past water/sewer rate misapplication and whether property owners are owed any remediation — remains without a plan, a timeline, or a designated accountable party.

Community members monitoring these proceedings should watch for:

- Whether the nominating committee's new standardized appointment process is actually published and followed for the 250th celebration committee and all future ad hoc committees.
- Whether ad hoc scorecard committee memberships are publicly disclosed, and whether those members have signed the code of ethics before their next meetings.
- Whether the board obtains and publishes Henry Walker's written opinion on whether general-reserve-to-water/sewer transfers remain permissible under T-Bore oversight.
- Whether a formal independent audit of the prior-period water/sewer fund misapplication is initiated, and whether a remediation framework for property owners is developed.
- Whether AT&T is held financially accountable for the $40,000 in 2025 infrastructure damages, and what the trajectory of the ongoing negotiation is.
- Whether the Communications Advisory Committee downgrade was genuinely mutual and operationally driven, or whether it quietly advances the December-era impulse to reduce advisory committee oversight.

This report covers both the January 20 town hall and January 21 board meeting. The February and March 2026 reports have been filed separately.